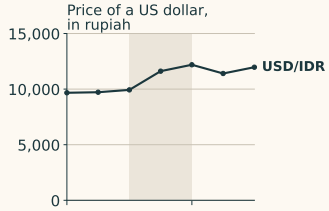
Corporate Currency Mismatch and Sovereign Risk

Hasan Cetin

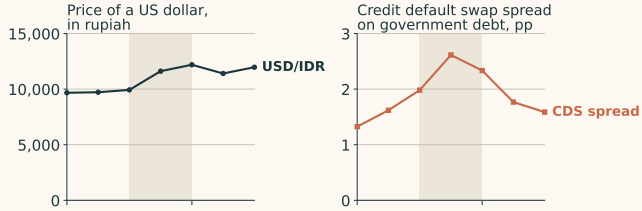
November 2026

University of Minnesota

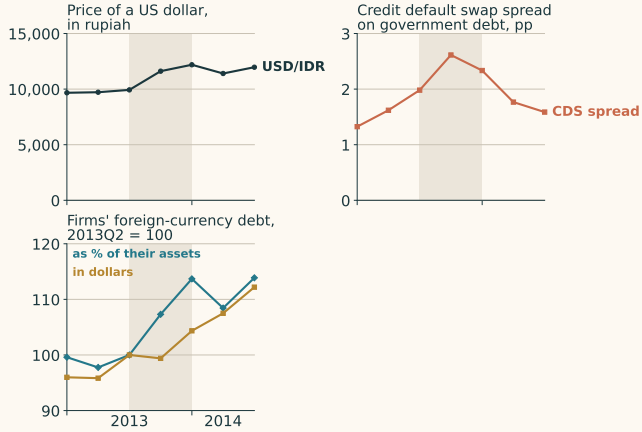
Motivation: Indonesia's 2013 depreciation



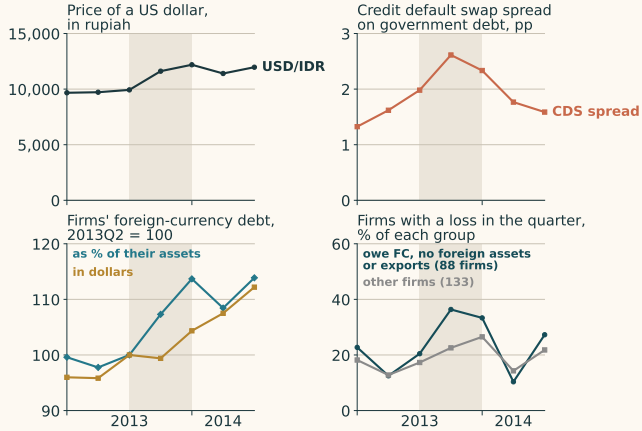
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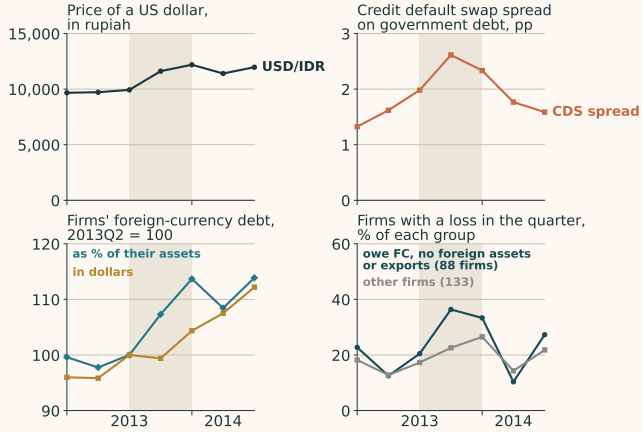
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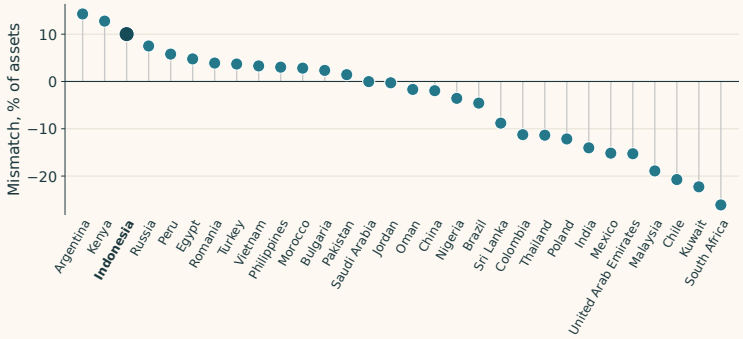


How much of the sovereign spread's reaction to the exchange rate comes from corporate currency mismatch?

Corporate currency mismatch in the 30 emerging markets

$$\text{Mismatch} = \frac{\sum_{\text{firms}} (\text{foreign-currency debt} - \text{foreign assets})}{\sum_{\text{firms}} \text{total assets}}$$

Average 2010 to 2025, listed non-financial firms



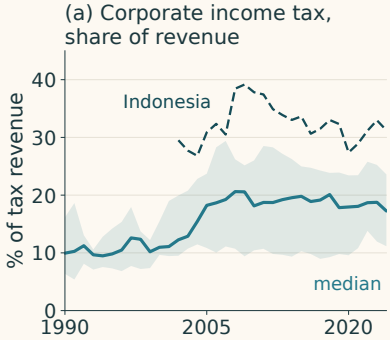
42,000 listed firms in 57 countries, quarterly, 2010 to 2025. In every advanced economy, firms hold more abroad than they owe in foreign currency.

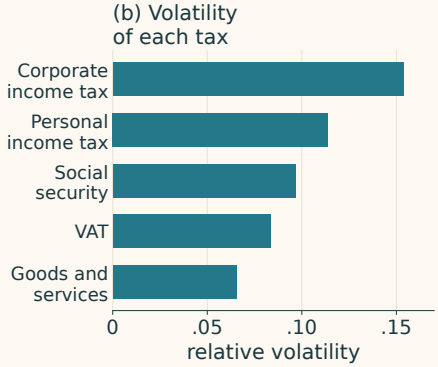
Sovereign CDS spreads and corporate mismatch

	Sovereign CDS spread (pp)		
	All 57	30 emerging	27 advanced
Mismatch × real exchange-rate change	$+9.71^{**}$	$\mathbf{+15.63}^{**}$	$+6.94$
	(4.32)	(7.53)	(6.36)
Mismatch	-0.13	-0.06	-0.62
	(0.59)	(0.68)	(1.31)
Real exchange-rate change	$+3.60^{***}$	$\mathbf{+3.48}^{***}$	$+1.82$
	(0.93)	(0.87)	(1.83)
Controls, country and quarter effects	Yes	Yes	Yes
Observations	2,812	1,542	1,270

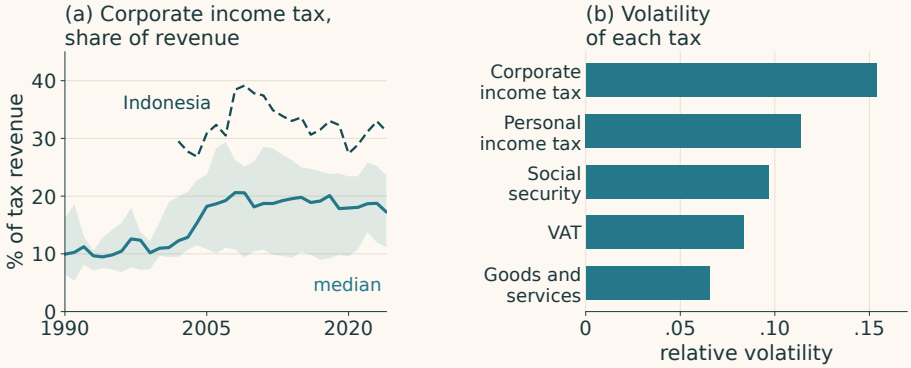
Emerging markets, a 10% depreciation: **+0.35 pp** at zero mismatch, **+0.16 pp** more per 10 pp of mismatch. Advanced economies: no response.

Why it reaches the government: tax revenue



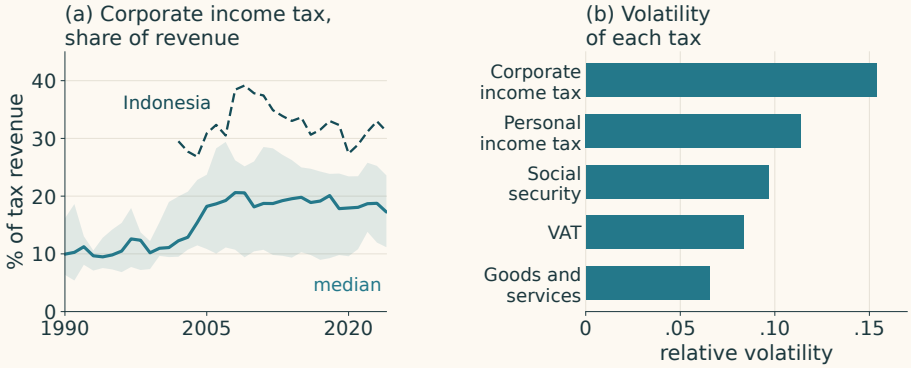


Why it reaches the government: tax revenue



Mismatched firms earn and invest less after a depreciation: a smaller tax base next year.

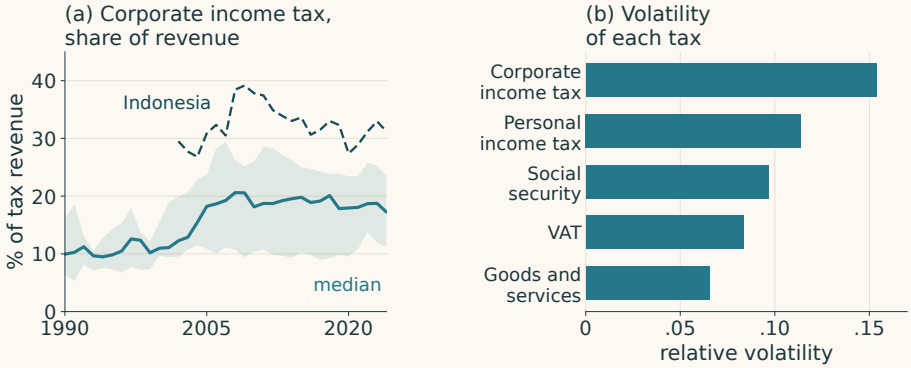
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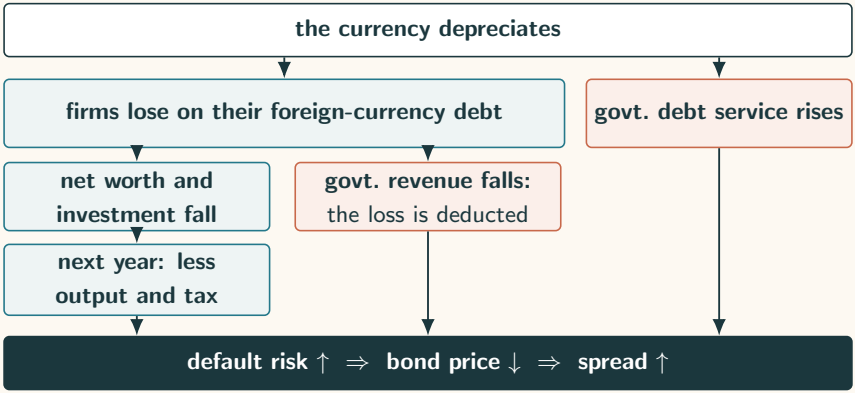
Mismatched firms earn and invest less after a depreciation: a smaller tax base next year.

And most emerging markets deduct exchange-rate losses from the corporate income tax at once.

Where allowed, a dollar of exchange-rate loss cuts a firm's tax bill by **12 cents**, elsewhere 5 cents.

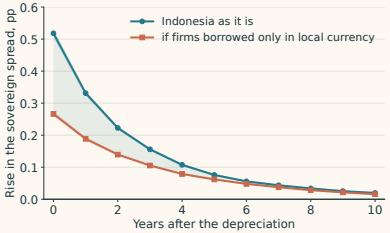
The model: how a depreciation raises the spread

Firms invest and borrow in local or foreign currency, lenders charge a higher rate the more they lend, exchange-rate losses are tax-deductible. The government taxes firms, borrows in foreign currency and can default.



Without firms' foreign-currency debt, the spread would rise half as much

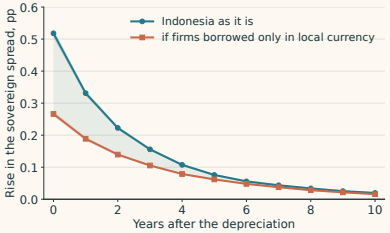
Rise in the sovereign spread after a 10% depreciation



The same regression on data the model generates matches the data within one standard error.

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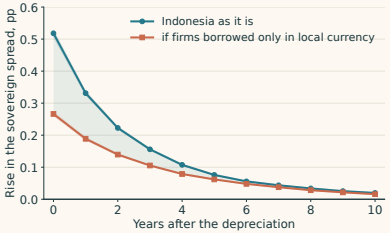


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No deduction of exchange-rate losses: the spread rises 0.32 pp instead of 0.52.
Firm owners gain 0.26% of consumption, workers unaffected.

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A cap or a tax on foreign-currency borrowing also works, but cuts firms' credit and welfare.